

IFSCA (Global In-House Centres) Regulations, 2025 – An Overview

The IFSCA¹ notified the **IFSCA (Global In-House Centres) Regulations, 2025** on **24th Dec., 2025**, providing a comprehensive and updated regulatory framework for Global In-House Centres (**GICs**) in IFSCs.

It is pertinent to note that **GICs were recognised as “Financial Services”** by the Ministry of Finance (Department of Economic Affairs) vide notification dated **16th Oct., 2020**.

These Regulations **replace and repeal** the earlier **IFSCA (Global In-House Centres) Regulations, 2020**, thereby aligning the framework with the evolving objectives of the GIFT IFSC.

(a) Objectives of the Regulations:

It seeks to establish a regulatory architecture with the following key objectives:

1. Operationalising GICs as a ‘Financial Service’

To enable GICs to function as a regulated financial service within IFSCs, thereby developing IFSCs as global hubs for the delivery of high-value financial and allied services, fostering employment generation, and strengthening India’s integration with the global financial services value chain.

2. ‘Onshoring’ of Financial Services

To attract India-centric financial services and transactions currently undertaken in offshore financial centres back to IFSCs, by offering a world-class business environment supported by globally aligned regulatory standards.

(b) Concept of GICs:

In general terms, **GICs** in an IFSC are **captive units of Financial Institution Groups**, established in Special Economic Zones such as **GIFT IFSC**, to provide **exclusive, high-end support services for global financial operations**.

¹ International Financial Services Centres Authority

These services typically include **IT support, risk management, analytics, compliance, and other specialised back-office** and middle-office functions. GICs operate in **foreign currency**, leverage India's skilled talent pool, optimise operational costs, and function under a favourable regulatory and tax regime.

(c) Key definitions under the Regulations:

Global In-House Centre (GIC) means a service provided by a GIC Unit for delivering services relating to financial products and financial services to a Financial Institution Group.

Global In-House Centre Unit (GIC Unit) means a unit established in an IFSC by an entity of a Financial Institution Group—either directly or through a third-party service provider—and registered under these Regulations to undertake GIC activities under permitted operating models such as:

- Captive Centre
- Build-Operate-Transfer (BOT)
- Joint Venture
- Hybrid model, or
- Any other model permitted by IFSCA

Financial Institution Group means entities of a group engaged in providing financial services or carrying out financial activities, including but not limited to banks, NBFCs, financial intermediaries, investment banks, insurance and reinsurance companies, brokerage firms, funds, stock exchanges, clearing corporations, depositories, custodians, actuaries, and similar institutions.

For the purposes of these Regulations, group relationships may arise through:

- Parent–subsidiary arrangements
- Joint ventures or Associates
- Common brand name
- Equity investment or capital contribution of 20% or more
- Network arrangements
- Any other structure permitted by IFSCA

A “network” refers to a collective structure of firms operating with pooled resources, common policies, technology, and branding, presenting themselves as a single integrated unit.

(d) Eligibility and Legal Form:

Only entities **exclusively falling within the definition of a ‘Financial Institution Group’** are eligible to apply under these Regulations.

Permissible legal forms:

- Company
- LLP
- Branch of a Company or LLP

Applications are required to be made through the **SWIT facility available on the IFSCA portal**.

The **certificate of registration** granted under these Regulations shall remain valid unless:

- Suspended or cancelled by IFSCA, or
- Voluntarily surrendered by the GIC Unit in accordance with the Regulations.

(e) Permissible Services and jurisdictional restrictions:

- GIC Units may provide services relating to **financial products and financial services**.
- Services may be rendered to **non-resident entities of the Financial Institution Group** located in jurisdictions not identified by FATF as “high-risk jurisdictions subject to call for action”.
- Limited services may be provided to group entities in India, subject to a cap of **10% of the GIC Unit’s total revenue** for the relevant financial year.

(f) Governance and compliance requirements:

GIC Units must ensure that:

- The entity, its principal officer, compliance officer, directors/partners/designated partners, and controlling shareholders are **“fit and proper”** persons at all times.
- A **Principal Officer** is appointed to oversee overall operations.
- A **Compliance Officer** is appointed to ensure adherence to applicable laws, policies, procedures, and record maintenance.

Both officers must be **full-time employees** of the GIC Unit and must be **based in the IFSC**.

(g) Operational and reporting framework

- Operations must be conducted in **Specified Foreign Currency**.
- The GIC Unit must maintain its **balance sheet in Specified Foreign Currency**.
- Periodic information and disclosures relating to operations must be furnished to IFSCA in the prescribed form and manner.

(h) Key Regulatory Clarifications:

- GICs can be set up **only by Financial Institution Groups**.
- Being classified as **financial services**, GICs are eligible for **tax incentives, benefits, and privileges** available to other IFSC-based financial service entities.
- GICs are **distinct from Global/Regional Corporate Treasury Centres (GRCTCs)**, which are finance companies regulated under the **IFSCA (Finance Company) Regulations, 2021**.
- GICs are also distinct from **Global Capability Centres (GCCs)**; from an IFSC perspective, only capability centres established by **Financial Institution Groups** qualify as GICs.

(i) Why IFSCs are an attractive destination for GICs:

- **Cost Efficiency:** Centralisation and optimisation of complex financial operations
- **Talent availability:** Access to India's deep pool of financial and digital professionals
- **Regulatory advantage:** Streamlined, globally aligned regulatory framework with fiscal incentives
- **Strategic positioning:** A globally competitive delivery hub serving international markets

(j) Way Forward:

The IFSCA (Global In-House Centres) Regulations, 2025 represent a **transformational development for the financial services ecosystem**. With operational flexibility, GIFT IFSC is expected to witness a significant increase in the establishment of GICs in the coming years.

This evolution will play a crucial role in **employment generation**, create **significant opportunities for corporate and technology professionals**, and further strengthen India's position in the global financial services landscape.

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